

The second best



Economists espouse the benefits of free, well-functioning markets. When a market fails, then the first response is often to propose that an intervention should be made to correct the problem. The theory of the second best shows that the situation is more complex.

Suppose we were worried about a firm monopolizing the steel market. Monopolies tend to drive up prices and restrict output compared to the social ideal, so we might suggest intervention from an 'anti-trust' agency to break the firm into smaller competitors: steel output would rise and prices would fall. But suppose there is another market failure: the firm pumps gases that damage nearby crops. The firm doesn't take account of this cost – if it did it would produce less steel. So one market failure – lower output arising from the monopoly – offsets the other failure of pollution costs arising from overproduction. Correcting

just one failure – the monopoly – might worsen the situation, because even more crops would be damaged.